COMMON RATIO CATEGORIES, INTERPRETATION, AND CONTEXT

Learning Outcome

- calculate and interpret activity, liquidity, solvency, and profitability ratios

In the previous lesson, we focused on ratios resulting from common-size analysis. In this lesson, we expand the discussion to include other commonly used financial ratios and the broad classes into which they are categorized. There is some overlap with common-size financial statement ratios. For example, a common indicator of profitability is the net profit margin, which is calculated as net income divided by sales. This ratio appears on a vertical common-size income statement. Other ratios involve information from multiple financial statements or even data from outside the financial statements.

Because of the large number of ratios, it is helpful to think about ratios in terms of broad categories based on what aspects of performance a ratio is intended to detect. Financial analysts and data vendors use a variety of categories to classify ratios. The category names and the ratios included in each category can differ. Common ratio categories include activity, liquidity, solvency, and profitability, which were introduced in earlier modules in Corporate Issuers. These categories are summarized in Exhibit 16. Each category measures a different aspect of the company's business, but all are useful in evaluating a company's overall ability to generate cash flows from operating its business and the associated risks.

Exhibit 16: Categories of Financial Ratios

Category	Description
Activity	**Activity ratios** measure the efficiency of a company's operations, such as the collection of receivables and management of inventory.
Liquidity	**Liquidity ratios** measure the company's ability to meet its short-term obligations.
Solvency	**Solvency ratios** measure a company's ability to meet long-term obligations. Subsets of these ratios are also known as "leverage" and "long-term debt" ratios.
Profitability	**Profitability ratios** measure the company's ability to generate profits from its resources (assets) or sales.

Interpretation and Context

Financial ratios can be interpreted only in the context of other information. In general, the financial ratios of a company are compared with those of its major competitors (cross-sectional and trend analysis) and to the company's prior periods (trend analysis). The goal is to understand the underlying causes of divergence between a company's ratios and those of the industry. Even ratios that remain consistent require understanding because consistency can sometimes indicate accounting policies selected to smooth earnings. An analyst should evaluate financial ratios in the context of the following:

1. *Prior period results*. Trend analysis can reveal whether a company's performance and position are weakening or strengthening.
2. *Expectations*. These are point or range estimates for key values, such as sales growth, profit margins, and leverage ratios, that are specified by the analyst or external analysts before results are published. Differences from expectations should be scrutinized for setting expectations in subsequent periods.

to a subset of the companies in an industry. When industry norms are used to make judgments, care must be taken for the following reasons:

- Companies may have several different lines of business. This will cause aggregate financial ratios to be distorted. It is better to examine industry-specific ratios by lines of business.
- Differences in business model and corporate strategies can affect certain financial ratios.
- Some ratios are industry specific, and not all ratios are important to all industries.
- Differences in accounting methods used by companies can distort financial ratios.

4. *Company goals and strategy*. Actual ratios can be compared with company objectives to determine whether objectives are being attained and whether the results are consistent with the company's strategy.
5. *Economic conditions*. For cyclical companies, financial ratios tend to improve when the economy is strong and weaken during recessions. Therefore, financial ratios should be examined in light of the current phase of the business cycle.

The following lessons discuss the calculation and interpretation of activity, liquidity, solvency, and profitability ratios using a company's financial statements.

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